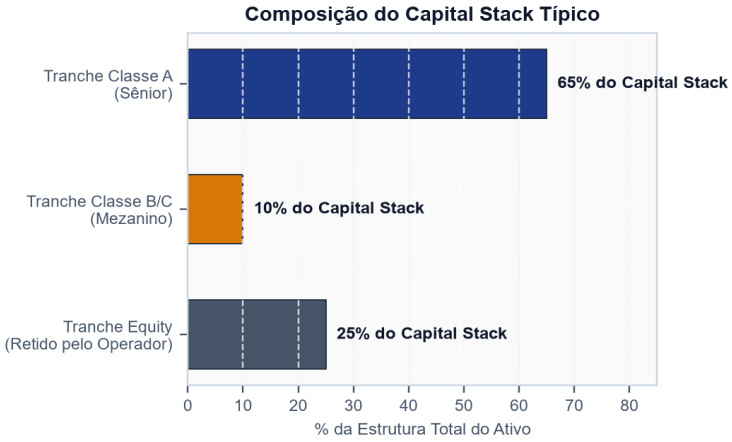
Data Center ABS Tranche Structure Analysis

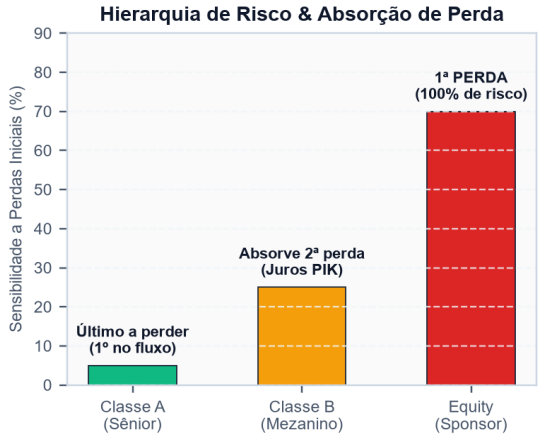
Official Capital Stack Examination: Class A, Class B, and Equity Tranches in AI Digital Infrastructure Financing

TOTAL ISSUANCE VOLUME	CLASS A TRANCHE	CLASS B TRANCHE	EQUITY TRANCHE	HISTORICAL DEFAULTS
$20.9 Billion	**A- to AAA (sf)**	**BBB- to BBB**	**25% to 40% (Overcoll.)**	**0.00% (Class A)**
All-Time High (AI Capex)	75% to 95% of Debt Stack	3% to 12% Subordinated Mezz	First-Loss Retained by Sponsor	Zero defaults since 2018

REGULATORY OVERVIEW (KBRA & S&P): *In a Data Center ABS issuance structured under a Master Trust, tranche division establishes the* ***strict priority of cash disbursements (*Cash Flow Waterfall*)*** *and* ***sequential loss absorption****. Class A is engineered to achieve senior Investment Grade ratings, heavily protected by the structural credit enhancement provided by subordinated Class B notes and equity capital retained by the sponsor (Overcollateralization).*

1. Detailed Anatomy of the Capital Stack Tranches

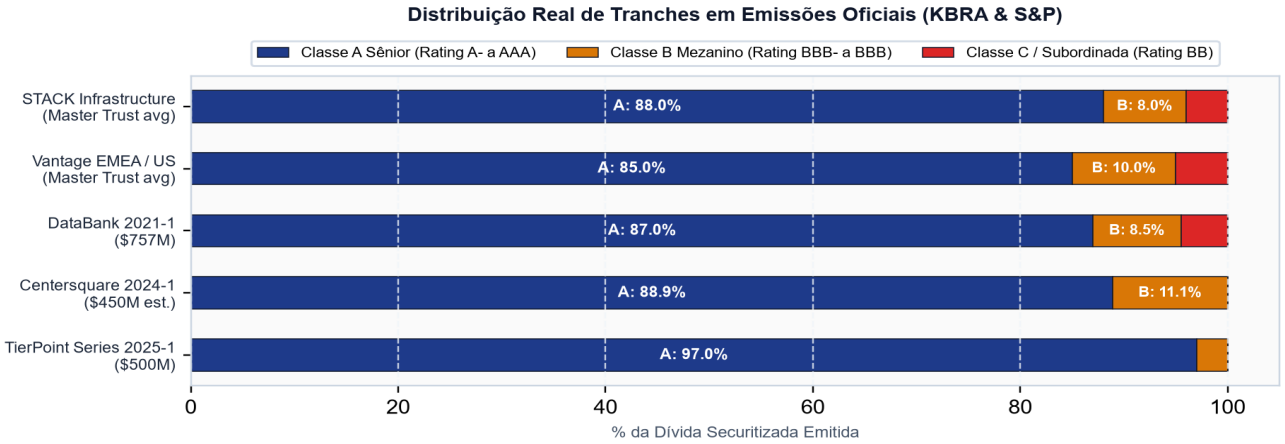




Tranche / Class	Typical Rating	Debt Share	Investor Profile	Credit Enhancement & Risk Mechanics
Class A-1 (VFN) **Class A-2 (Term)**	**A- to AAA (sf)** (KBRA / S&P)	**75% to 95%** of debt stack	Life insurers, pension funds, bank treasuries	Senior-most priority on principal and coupon receipts. Protected by Debt Service Reserve Accounts (DSRA) and full subordination of B and Equity.
Class B (Mezzanine)	**BBB- to BBB** (KBRA)	**3% to 12%** of debt stack	Private credit funds, absolute return managers	Subordinated to Class A. Absorbs second losses. Under severe stress, coupons may convert to Payment-in-Kind (PIK), capitalizing into principal.
Equity Tranche (Sponsor)	**Unrated** (Residual)	**25% to 40%** of asset value (LTV 60-75%)	Data Center Operator (Vantage, DataBank, STACK)	Absorbs **first loss (100%)**. Receives purely residual cash flow. Subject to *Cash Trap* (100% dividend freeze if DSCR drops below ~1.30x).

2. Empirical Evidence and Official Rating Agency Deal Track

A review of **KBRA** and **S&P** New Issue Reports and public SEC offering circulars reveals real-world debt structuring parameters across benchmark issuers:



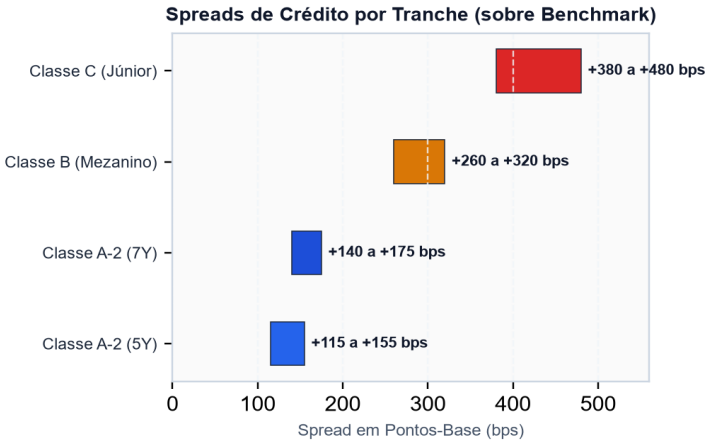
Issuer & Official Series	Tranche / Class	Issuance Amount	Official Rating	Tenor (ARD)	Underlying Collateral Pool
TierPoint Issuer LLC (Series 2025-1 • Apr 2025)	Class A (4Y / 7Y) Class B (4Y Mezz)	$485.0M $15.0M	**A-** (KBRA) **BBB-** (KBRA)	4 & 7 years 4 years	33 enterprise colocation data centers across US. $1.81B cumulative platform debt.
DataBank Issuer LLC (Series 2021-1 / 2024-1)	Class A-2 (Term) Class B / Class C	$658.0M $99.0M	**A-** (KBRA) **BBB / BB** (KBRA)	5 years 5 years	Portfolio of 35 colocation campuses. Subordinated B/C notes amortized in 2026.
Centersquare Issuer LLC (Series 2024-1 / 2025-1)	Class A-2 Class B (Mezz)	$400.0M $50.0M est.	**A-** (KBRA) **BBB-** (KBRA)	5 years 5 years	21 multi-tenant campuses; secured against annualized monthly recurring revenue.
STACK Infrastructure (Series 2024-1 / 2025-1)	Class A-2 Senior Retained Equity	$1.2+ Billion ~$500M (OC)	**A- (sf)** (S&P) Unrated	5 & 10 years Residual	Hyperscale wholesale campuses dedicated to Microsoft, AWS, and Oracle.

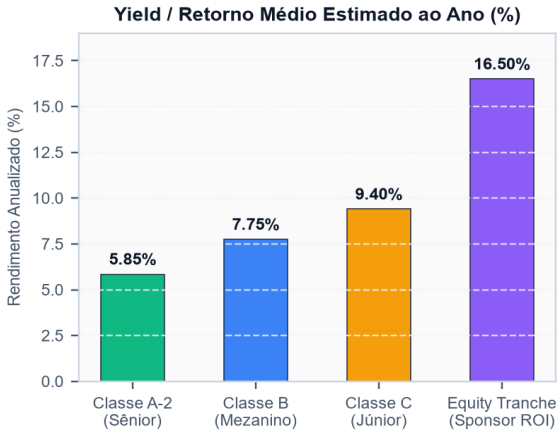
Key Findings from Official Deal Data:

1. **Overwhelming Dominance of Class A:** Across benchmark issuances, Class A notes represent **85% to 97% of total debt placed**. Issuers actively maximize senior notes to secure the lowest weighted average cost of capital (A- / A+ ratings).
2. **Tactical Deployment of Class B:** Mezzanine tranches remain lean (3% to 12% of the facility). They are primarily subscribed by private credit managers seeking enhanced yield (~7.5% to 8.5%) in exchange for absorbing transient cash flow volatility.
3. **Substantial Overcollateralization:** In virtually all KBRA-rated trusts, asset LTVs range between 55% and 70%, ensuring a robust structural equity cushion of **30% to 45% retained by the sponsor**.

3. Payment Waterfall Mechanics and Spread Pricing

Coupon pricing directly mirrors structural seniority within the legal trust indenture (*Cash Flow Waterfall*):





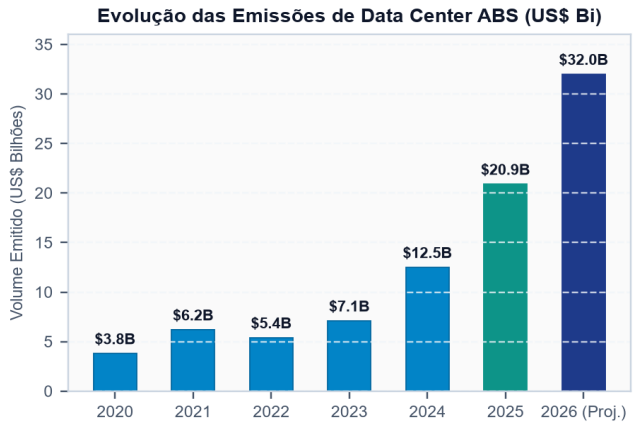
Strict Priority of Monthly Cash Flow Disbursements:

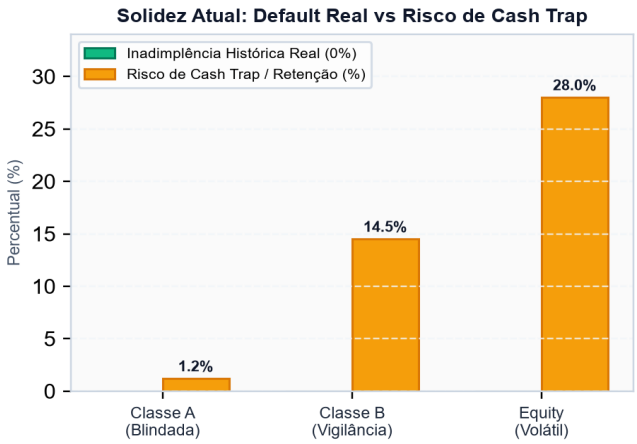
- **Tier 1 (Mission-Critical Costs):** Facility Operations & Maintenance expenses (utility power, on-site security) and trust servicing fees (*Master & Backup Servicer*).
- **Tier 2 (Senior Debt Service):** Scheduled interest and principal amortization on **Class A-1 and Class A-2** notes.
- **Tier 3 (Mezzanine Debt Service):** Scheduled interest on **Class B** notes (subject to deferral/PIK if liquidity hurdles are breached).
- **Tier 4 (Reserve Replenishment):** Funding of the Debt Service Reserve Account (DSRA, typically 6 months of debt service) and replacement capex escrows.
- **Tier 5 (Residual Equity Distribution):** Unencumbered residual cash is distributed to sponsor equity holders (Vantage, DataBank, STACK).

Contractual Trigger Event	Typical DSCR Hurdle	Waterfall Enforcement Action	Impact on Equity and Class B Tranches
Standard Operation	DSCR > 1.60x	Unrestricted dividend distribution to sponsor.	**Full distributions:** Sponsor realizes 14% to 18% ROE.
Cash Trap Event (Preventative Sweep)	DSCR < 1.30x to 1.40x	100% of residual cash flow trapped in trust custody account.	**Zero dividends:** Operator distributions frozen until coverage ratio restores.
Rapid Amortization Event (Accelerated Paydown)	DSCR < 1.15x to 1.20x	Subordinated payments suspended; all net cash amortizes Class A principal.	**Senior Shield:** Class A paid down rapidly; equity value severely impaired.

4. Current Market Assessment: The AI Capex Boom and Structural Stress Vectors

In 2025/2026, the generative AI race catalyzed unprecedented issuance volume in Data Center ABS, altering risk profiles across each tranche:





2026 Diagnosis Across Tranche Classes:

• **Class A Senior Notes (Extremely Resilient):** Credit risk remains virtually nil. Over **75% of underlying contracted revenues** are underwritten by investment-grade hyperscalers (Microsoft, Amazon/AWS, Alphabet/Google, Oracle). Even in an AI startup bankruptcy, 25% to 35% overcollateralization cushions senior noteholders from principal loss.

• **Class B Mezzanine Notes (Surveillance Point):** Mezzanine debt issued to fund liquid-cooling retrofits has increased exposure to specialized neoclouds (CoreWeave, Lambda Labs). Investors demand wider spreads (+280 to +350 bps) to compensate for potential contract restructurings that could trigger PIK coupon deferrals.

• **Retained Equity Tranche (Cost-of-Capital Squeeze):** With US benchmark yields anchored between 4.5% and 5.25%, elevated interest expense has compressed residual cash distributions to sponsors. Furthermore, transmission interconnection delays by electric utilities risk pushing facility DSCRs into *Cash Trap* territory.

INSTITUTIONAL VERDICT ACROSS CAPITAL TRANCHES:

1. **For Conservative Fixed Income / Pension Allocators: Class A** Data Center ABS represents one of the most reliable securitization assets globally, offering attractive spreads (~5.8% to 6.2% yield) supported by a flawless track record of zero defaults and blue-chip counterparty risk.
2. **For Private Credit & Mezzanine Managers: Class B** offers compelling yields (~7.5% to 8.5%), but mandates strict due diligence on facility power densities (kW/rack) and tenant solvency across AI venture workloads.